

Subject Code	AF5333
Subject Title	Risk Management for Corporations
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Investment (AF5344) Exclusion: Corporate Risk Management (AF5322) Business Risk Management (AF5336)
Objectives	This subject contributes to the achievement of the MoF Programme Outcomes by: apply conceptual frameworks drawn from Accounting, Risk Management, Economics, Quantitative Method, Business Ethics and Law to the analysis of investment and corporate finance issues (Outcome 1), solve asset management/corporate finance problems as they present themselves in real-life situations (Outcome 2), and formulate financial strategies and envision their outcomes (Outcome 3). In addition, the student will also learn risk identification, risk measurement, and risk control, and to apply their understanding of financial risk management decisions.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: <i>a) understand the principles risk management in relation to Economics, corporate Finance, investment, and corporate governance</i> <i>b) conduct risk assessment for corporate projects</i> <i>c) understand the risk of structured products</i> <i>d) exercise risk control for projects and firms</i> <i>e) apply structured products to manage financial risk</i>
Subject Synopsis/ Indicative Syllabus	Introduction Contemporary Risk Management Basic Concepts of Risk Management Risk Identification Risk Measurement Risk Control Applications of Risk Management Conclusion
Teaching/Learning Methodology	Lectures will be used to explain the concepts. Numerical examples and real life cases will be used to enhance the understanding of the academic knowledge. In addition, the students are divided into groups for discussions of applications and cases. Individual assignment and group research projects are required. At the end of the semester, presentations

	are required as part of the research project so that students' communication skills are evaluated.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	1. Individual Essay	20%	✓	✓	✓	✓	✓	
	2. Group Project	20%	✓	✓	✓	✓	✓	
	3. Exam	50%	✓	✓	✓	✓	✓	
	4. Participation*	10%						
	Total	100 %						
	* Participation includes 5% attendance and 5% classroom participation. These marks enhance overall learning participation and in-class interaction for learning enhancement. This item does not focus on any particular learning outcome so no tick is given in this table.							
Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.								
Student Study Effort Expected	Class contact:							
	▪ Lecture						39 Hrs.	
	Other student study effort:							
	▪ Self-study						78 Hrs.	
	Total student study effort						117 Hrs.	
Reading List and References	Crouhy, M, D. Galai and R. Mark, <i>The Essentials of Risk Management</i> , 3 rd edition, McGraw Hill, 2023.							
	Hull, John, <i>Risk Management and Financial Institutions</i> , 6 th edition, Wiley, 2023.							
	Chance & Brooks, <i>An Introduction to Derivatives & Risk Management</i> , 10 th edition, Cengage Learning, 2016.							
	Lam, James, <i>Enterprise Risk Management: From Incentives to Controls</i> , 2 nd edition, Wiley, 2014.							
	Marthinsen, John, <i>Risk Takers: Uses and Abuses of Financial Derivatives</i> ,							

	3 rd edition, Pearson, 2018.
--	---

	Jorion, Philippe, <i>Value At Risk: The New Benchmark for Managing Financial Risk</i> , 3 rd edition, McGraw Hill, 2007.
--	---